

7-2a Objectives of Internal Control

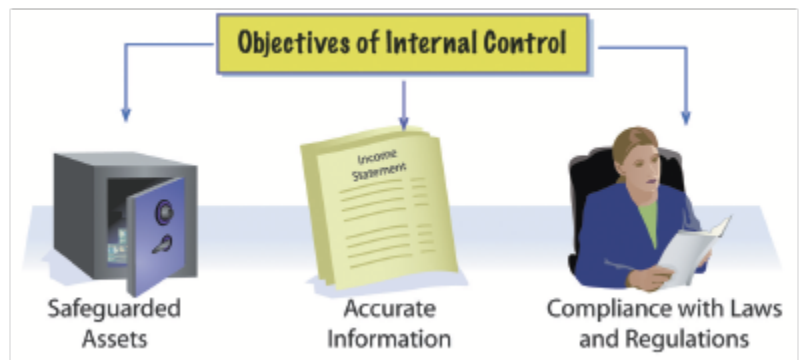
The objectives of internal control are to provide reasonable assurance that:

- Assets are safeguarded and used for business purposes.
- Business information is accurate.
- Employees and managers comply with laws and regulations.

These objectives are illustrated in [Exhibit 3](#).

Exhibit 3

Objectives of Internal Control



Internal control can safeguard assets by preventing theft, fraud, misuse, or misplacement. A serious concern of internal control is preventing employee fraud.

Employee fraud ([The intentional act of deceiving an employer for personal gain.](#)) is the intentional act of deceiving an employer for personal gain. Such fraud may range from minor overstating of a travel expense report to stealing millions of dollars. Employees stealing from a business often adjust the accounting records in order to hide their fraud. Thus, employee fraud usually affects the accuracy of business information.

Accurate information is necessary to successfully operate a business. Businesses must also comply with laws, regulations, and financial reporting standards. Examples of such standards include environmental regulations, safety regulations, and generally accepted accounting principles (GAAP).